REGISTERED CHARITY NUMBER: 250030

REPORT OF THE TRUSTEES AND UNAUDITED FINANCIAL STATEMENTS FOR THE YEAR ENDED 5 APRIL 2018 FOR THE LESLIE SMITH FOUNDATION

THE LESLIE SMITH FOUNDATION

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for the Year Ended 5 April 2018

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REPORT OF THE TRUSTEES
for the Year Ended 5 April 2018

The Trustees present their report with the financial statements of the charity for the year ended 5 April 2018. The trustees have adopted the provisions of Accounting and Reporting by Charities: Statement of Recommended Practice applicable to charities preparing their accounts in accordance with the Financial Reporting Standard applicable in the UK and Republic of Ireland (FRS 102) (effective 1 January 2015).

OBJECTIVES AND ACTIVITIES
Objectives and aims
The Foundation is a grant making body and has the widest of charitable objects. The Trustees have reviewed their objects and, without surrendering their discretion, have agreed to focus mainly on: children in the UK with life changing illnesses; orphans; education and special needs schools based in the UK and recipients of previous grants.

Public benefit
The Trustees confirm that they have complied with the duty in Section 4 of the Charities Act 2011 to have due regard to public benefit guidance published by the Charity Commission in determining the activities undertaken by the charity.

ACHIEVEMENT AND PERFORMANCE
The Foundation receives applications, which are reviewed by the Foundation's administrator. There is no set application form - applicants send in a summary of the project or purpose for which they are raising funds, together with a copy of their latest accounts. Applications from individuals are not encouraged. Only successful applicants are notified, in order to avoid increased administration costs for the Foundation.

The Trustees make it clear, in accordance with the ethos of L H A Smith, that all grants are made on the basis of total anonymity, so far as the public records of the successful applicant are concerned. Applications which meet the Trustees' criteria are then considered by the Trustees, who make the final decision. The Trustees are pleased to receive updates from successful applicants to keep the Trustees updated on the effective use of those funds - usually, this is done by receiving a newsletter or similar. Grants during the year amounted to £106,000 (2017: £1,000).

FINANCIAL REVIEW
Principal funding sources
The Trustees are able to apply any or all of the capital of the fund as if it were income, and decide each year whether to exercise this power.
The net incoming resources, after allowing for realised and unrealised gains on investments for the year, were £214,809 (2017: £423,410).
The attached financial statements show the current state of the Foundation's finances to be sound.

Investment policy and objectives
The Trustees have wide powers of investment vested in them by the Trust Deed. The Foundation has two main portfolios which each have a separate function within the overall investment strategy of the Trustees.

The objective for the portfolio managed by City Asset Management Plc (CAM), is for long term growth. The investment objective is to produce returns in excess of a benchmark of the UK Consumer Prices Index (CPI) plus three percent per annum, over an investment cycle, which has been achieved over the last 5 year period. The portfolio is constructed using a range of asset classes in order to ensure it is adequately diversified.

The Trustees also retain a holding in Segro Plc shares which derive from the original assets settled. The Trustees keep the level of their holding in Segro Plc under constant review in view of the current volatility in the market.

Reserves policy
The unrestricted funds of the Foundation at 5th April 2018 were £3,758,078 (2017: £3,544,235).The restricted funds of the Foundation at 5th April 2018 were £966 (2017: nil). Although the Trustees are able to apply the capital fund as if it were income they will aim to distribute the income each year and retain the capital to fund future grants.

REPORT OF THE TRUSTEES
for the Year Ended 5 April 2018

STRUCTURE, GOVERNANCE AND MANAGEMENT
Governing document
The charity is controlled by its governing document, a deed of trust, and constitutes an unincorporated charity.

The Foundation was established by an initial gift from Leslie Herbert Alfred Smith. Members of the Smith family continue to be involved with the running of the Foundation. The Foundation does not actively fundraise and seeks to continue the philanthropic work desired by L H A Smith through the careful stewardship of its existing resources.

The Trustees aim to meet annually to consider and agree the broad strategy and areas of activity for the Foundation, including consideration of grant making, investment, reserves and risk management policies and performance. The day to day administration of grants and the processing and handling of applications prior to the consideration of the Trustees is delegated to the administrator.

New trustees are appointed by the existing Trustees. There is no minimum number of trustees set out in the Trust Deed. The Trustees keep the skill requirements of trustees under review. New trustees are encouraged to attend lectures or seminars intended to ensure that charity trustees maintain the necessary skills to continue the valuable work the Foundation does. The trustees respect the ethos of the Foundation and intend to continue the philanthropic work begun by L H A Smith.

Risk management
The Trustees have reviewed areas where potential and major risks may arise to the Foundation in accordance with the statement of recommended practice and have established systems and procedures to manage those risks. The Trustees consider there to be no significant areas of concern.

REFERENCE AND ADMINISTRATIVE DETAILS
Registered Charity number
250030

Principal address
Unit 4 Hill Farm
Kirby Road
Kirby Bedon
Norwich
Norfolk
NR14 7DU

Trustees
D Fisher
CAR Hayles
MLR Hayles
AER Hayles
EOR Hayles

Independent examiner
PS Cornish
OCH Services Limited
The Old Coach House
Bergh Apton
Norwich
NR15 1DD

REPORT OF THE TRUSTEES
for the Year Ended 5 April 2018

STATEMENT OF TRUSTEES RESPONSIBILITIES

The trustees are responsible for preparing the Report of the Trustees and the financial statements in accordance with applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice).

The law applicable to charities in England and Wales, the Charities Act 2011, Charity (Accounts and Reports) Regulations 2008 and the provisions of the trust deed requires the trustees to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the charity and of the incoming resources and application of resources, including the income and expenditure, of the charity for that period. In preparing those financial statements, the trustees are required to

- select suitable accounting policies and then apply them consistently;
- observe the methods and principles in the Charity SORP;
- make judgements and estimates that are reasonable and prudent;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the charity will continue in business.

The trustees are responsible for keeping proper accounting records which disclose with reasonable accuracy at any time the financial position of the charity and to enable them to ensure that the financial statements comply with the Charities Act 2011, the Charity (Accounts and Reports) Regulations 2008 and the provisions of the trust deed. They are also responsible for safeguarding the assets of the charity and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Approved by the Trustees on 1st February 2019 and signed on their behalf by:

Deborah Fisher

D Fisher - Trustee

INDEPENDENT EXAMINER'S REPORT TO THE TRUSTEES OF THE LESLIE SMITH FOUNDATION

Independent examiner's report to the trustees of The Leslie Smith Foundation
I report to the charity trustees on my examination of the accounts of the The Leslie Smith Foundation (the Trust) for the year ended 5 April 2018.

Responsibilities and basis of report
As the charity trustees of the Trust you are responsible for the preparation of the accounts in accordance with the requirements of the Charities Act 2011 ('the Act').

I report in respect of my examination of the Trust's accounts carried out under section 145 of the Act and in carrying out my examination I have followed all applicable Directions given by the Charity Commission under section 145(5)(b) of the Act.

Independent examiner's statement
I have completed my examination. I confirm that no material matters have come to my attention in connection with the examination giving me cause to believe that in any material respect:

1. accounting records were not kept in respect of the Trust as required by section 130 of the Act; or
2. the accounts do not accord with those records; or
3. the accounts do not comply with the applicable requirements concerning the form and content of accounts set out in the Charities (Accounts and Reports) Regulations 2008 other than any requirement that the accounts give a true and fair view which is not a matter considered as part of an independent examination.

I confirm that there are no other matters to which your attention should be drawn to enable a proper understanding of the accounts to be reached.

P. Susa Cornish

PS Cornish
OCH Services Limited
The Old Coach House
Bergh Apton
Norwich
NR15 1DD

Date: 1st February 2019

THE LESLIE SMITH FOUNDATION

STATEMENT OF FINANCIAL ACTIVITIES
for the Year Ended 5 April 2018

	Notes	Unrestricted fund £	Restricted fund £	2018 Total funds £	2017 Total funds £
INCOME AND ENDOWMENTS					
Investment income	2	74,158	6,966	81,124	72,201
Total		74,158	6,966	81,124	72,201
EXPENDITURE					
Raising funds	3	(20,659)	-	(20,659)	(17,301)
Charitable activities	4				
Grant making		(113,030)	(6,000)	(119,030)	(10,116)
Total		(133,689)	(6,000)	(139,689)	(27,417)
Net gains on investments		273,374	-	273,374	378,626
NET INCOME		213,843	966	214,809	423,410
RECONCILIATION OF FUNDS					
Total funds brought forward		3,544,235	-	3,544,235	3,120,825
TOTAL FUNDS CARRIED FORWARD		3,758,078	966	3,759,044	3,544,235

The notes form part of these financial statements

THE LESLIE SMITH FOUNDATION

BALANCE SHEET
At 5 April 2018

	Notes	Unrestricted fund £	Restricted fund £	2018 Total funds £	2017 Total funds £
FIXED ASSETS					
Investments	9	3,602,797	-	3,602,797	3,137,990
CURRENT ASSETS					
Debtors	10	939	-	939	483
Cash at bank		286,823	966	287,789	436,427
		287,762	966	288,728	436,910
CREDITORS					
Amounts falling due within one year	11	(132,481)	-	(132,481)	(30,665)
NET CURRENT ASSETS		155,281	966	156,247	406,245
TOTAL ASSETS LESS CURRENT LIABILITIES		3,758,078	966	3,759,044	3,544,235
NET ASSETS		3,758,078	966	3,759,044	3,544,235
FUNDS	12				
Unrestricted funds				3,758,078	3,544,235
Restricted funds				966	-
TOTAL FUNDS				3,759,044	3,544,235

The financial statements were approved by the Trustees on 1st February 2019 and were signed on their behalf by:

Deborah Fisher

D Fisher -Trustee

The notes form part of these financial statements

1. ACCOUNTING POLICIES

Basis of preparing the financial statements
The financial statements of the charity, which is a public benefit entity under FRS 102, have been prepared in accordance with the Charities SORP (FRS 102) 'Accounting and Reporting by Charities: Statement of Recommended Practice applicable to charities preparing their accounts in accordance with the Financial Reporting Standard applicable in the UK and Republic of Ireland (FRS 102) (effective 1 January 2015)', Financial Reporting Standard 102 'The Financial Reporting Standard applicable in the UK and Republic of Ireland' and the Charities Act 2011. The financial statements have been prepared under the historical cost convention with the exception of investments which are included at market value, as modified by the revaluation of certain assets.

The financial statements have been prepared to give a 'true and fair' view and have departed from the Charities (Accounts and Reports) Regulations 2008 only to the extent required to provide a 'true and fair view'. This departure has involved following SORP (FRSSE) 2015 rather than the Accounting and Reporting by Charities: Statement of Recommended Practice effective from 1 April 2005 which has since been withdrawn.

Income
All income is recognised in the Statement of Financial Activities once the charity has entitlement to the funds, it is probable that the income will be received and the amount can be measured reliably.

Investment income is included when receivable and, where applicable, is grossed up at the appropriate rate to take account of recoverable tax.

Expenditure
Liabilities are recognised as expenditure as soon as there is a legal or constructive obligation committing the charity to that expenditure, it is probable that a transfer of economic benefits will be required in settlement and the amount of the obligation can be measured reliably. Expenditure is accounted for on an accruals basis and has been classified under headings that aggregate all cost related to the category. Where costs cannot be directly attributed to particular headings they have been allocated to activities on a basis consistent with the use of resources. Expenditure includes any VAT which cannot be fully recovered and is reported as part of the expenditure to which it relates.

Grants offered subject to conditions which have not been met at the year end date are noted as a commitment but not accrued as expenditure.

Taxation
The charity is exempt from tax on its charitable activities.

Fund accounting
The charity maintains two funds, the main fund is unrestricted and represents the original and subsequent settled amounts and the undistributed income. The restricted fund represents undistributed specific income which is for the benefit of Kidney Research and Cancer Research UK.

Foreign currencies
Transactions in foreign currencies are recorded at the rates of exchange prevailing at the time of the transactions. Foreign investments are translated into sterling at the exchange rate prevailing at the balance sheet date. The gain or loss on exchange arising on such transactions is included in the SoFA as a gain or loss on investments.

1. ACCOUNTING POLICIES - continued

Valuation of investments
Fixed asset investments are initially recorded at transaction value and revalued at the balance sheet date. The gain or loss is taken to the Statement of Financial Activities as an unrealised gain or loss.

Debtors
Other debtors are recognised at the settlement amount.

Cash at Bank and in hand
Cash at bank and in hand includes cash and short term highly liquid investments with a short maturity of three months or less from the date of acquisition or opening of the deposit or similar account.

Liabilities and provisions
Liabilities and provisions are recognised where the charity has a present obligation resulting from a past event that will probably result in the transfer of funds to a third party and the amount due to settle the obligation can be measured or estimated reliably. Creditors and provisions are normally recognised at their settlement amount after allowing for any trade discounts due.

Financial instruments
The charity only has financial assets and financial liabilities of a kind that qualify as basic financial instruments. Basic financial instruments are initially recognised at transaction value.

2. INVESTMENT INCOME

	2018	2017
	£	£
Listed investments	81,124	72,121
Cash deposits	-	80
	81,124	72,201

3. RAISING FUNDS

Investment management costs

	2018	2017
	£	£
Investment advice	20,659	17,301

4. CHARITABLE ACTIVITIES COSTS

	Grant funding of activities (See note 5)	Support costs (See note 6)	Totals
	£	£	£
Grant making	106,000	13,030	119,030

5. GRANTS PAYABLE

	2018	2017
	£	£
Grant making	106,000	1,000

The total grants paid to institutions during the year was as follows:

	2018	2017
	£	£
Cancer Research UK	3,000	-
Country Holidays for Inner City Kids (CHICKS)	12,000	-
Flying Seagull Project	20,000	-
Hand in Hand for Syria	12,000	-
Heaton Ellis Trust	5,000	-
Helen & Douglas House	16,000	-
Kidney Research UK	3,000	-
Lewis Moody Foundation	5,000	-
Prior's Court Foundation	10,000	-
Restless Development	-	1,000
Shakespeare Globe Education Trust	5,000	-
Skillforce Development	5,000	-
Sunflower Trust	5,000	-
Whizz-Kids	5,000	-
	106,000	1,000

The grants paid can be analysed as follows:

	2018	2017
	£	£
Education	15,000	-
Health and general welfare	91,000	1,000
	106,000	1,000

6. SUPPORT COSTS

	Finance	Governance costs	Totals
	£	£	£
Grant making	96	12,934	13,030

6. SUPPORT COSTS - continued

Support costs, included in the above, are as follows:

Finance

	2018 Total activities £	2017 Total activities £
Bank charges	96	-

Governance costs

	2018 Total activities £	2017 Total activities £
Legal fees	6,406	2,756
Independent examiner fees	2,128	2,100
Accountancy fees	4,400	4,260
	12,934	9,116

7. TRUSTEES' REMUNERATION AND BENEFITS

There were no trustees' remuneration or other benefits for the year ended 5 April 2018 nor for the year ended 5 April 2017.

8. COMPARATIVES FOR THE STATEMENT OF FINANCIAL ACTIVITIES

	Unrestricted fund £	Restricted fund £	Total funds £
INCOME AND ENDOWMENTS			
Investment income	72,201	-	72,201
Total	72,201	-	72,201
EXPENDITURE			
Raising funds	(17,301)	-	(17,301)
Charitable activities			
Grant making	(10,116)	-	(10,116)
Total	(27,417)	-	(27,417)
Net gains on investments	378,626	-	378,626

8. COMPARATIVES FOR THE STATEMENT OF FINANCIAL ACTIVITIES - continued

	Unrestricted fund £	Restricted fund £	Total funds £
NET INCOME	423,410	-	423,410
RECONCILIATION OF FUNDS			
Total funds brought forward	3,120,825	-	3,120,825
TOTAL FUNDS CARRIED FORWARD	3,544,235	-	3,544,235

9. FIXED ASSET INVESTMENTS

	Listed investments £
MARKET VALUE	
At 6 April 2017	3,137,990
Additions	871,859
Disposals	(657,689)
Revaluations	250,637
At 5 April 2018	3,602,797
HISTORICAL COST	
At 5 April 2018	2,427,883
At 5 April 2017	2,164,382

The Fixed Asset Investments market values may be analysed as follows:

	2018 £	2017 £
Listed in the UK	1,971,067	1,651,106
Listed outside the UK	1,631,730	1,486,884

Investments exceeding 5% of the portfolio are as follows:

	2018 %	2017 %
Segro Plc	22.2	19.0

10. DEBTORS: AMOUNTS FALLING DUE WITHIN ONE YEAR

	2018	2017
	£	£
Other debtors	939	483

11. CREDITORS: AMOUNTS FALLING DUE WITHIN ONE YEAR

	2018	2017
	£	£
Other creditors	132,481	30,665

12. MOVEMENT IN FUNDS

	At 6.4.17	Net movement in funds	At 5.4.18
	£	£	£
Unrestricted funds			
General fund	3,544,235	213,843	3,758,078
Restricted funds			
Restricted Fund	-	966	966
TOTAL FUNDS	3,544,235	214,809	3,759,044

Net movement in funds, included in the above are as follows:

	Incoming resources	Resources expended	Gains and losses	Movement in funds
	£	£	£	£
Unrestricted funds				
General fund	74,158	(133,689)	273,374	213,843
Restricted funds				
Restricted Fund	6,966	(6,000)	-	966
TOTAL FUNDS	81,124	(139,689)	273,374	214,809

12. MOVEMENT IN FUNDS - continued

Comparatives for movement in funds

	At 6.4.16 £	Net movement in funds £	At 5.4.17 £
Unrestricted Funds			
General fund	3,120,825	423,410	3,544,235
TOTAL FUNDS	3,120,825	423,410	3,544,235

Comparative net movement in funds, included in the above are as follows:

	Incoming resources £	Resources expended £	Gains and losses £	Movement in funds £
Unrestricted funds				
General fund	72,201	(27,417)	378,626	423,410
TOTAL FUNDS	72,201	(27,417)	378,626	423,410

13. RELATED PARTY DISCLOSURES

Mrs D Fisher is a Principal Member of FisherLegal LLP a firm of solicitors which raised invoices to the Trust for legal and administrative services rendered.

Professional fees amounting to £6,406 (2017: £2,756) were payable to FisherLegal LLP and other creditors includes £6,406 due to FisherLegal LLP (2017: £3,474).

No other trustee or person related to the charity had any personal interest in any contract or transaction entered into by the charity during the year (2017 Nil).